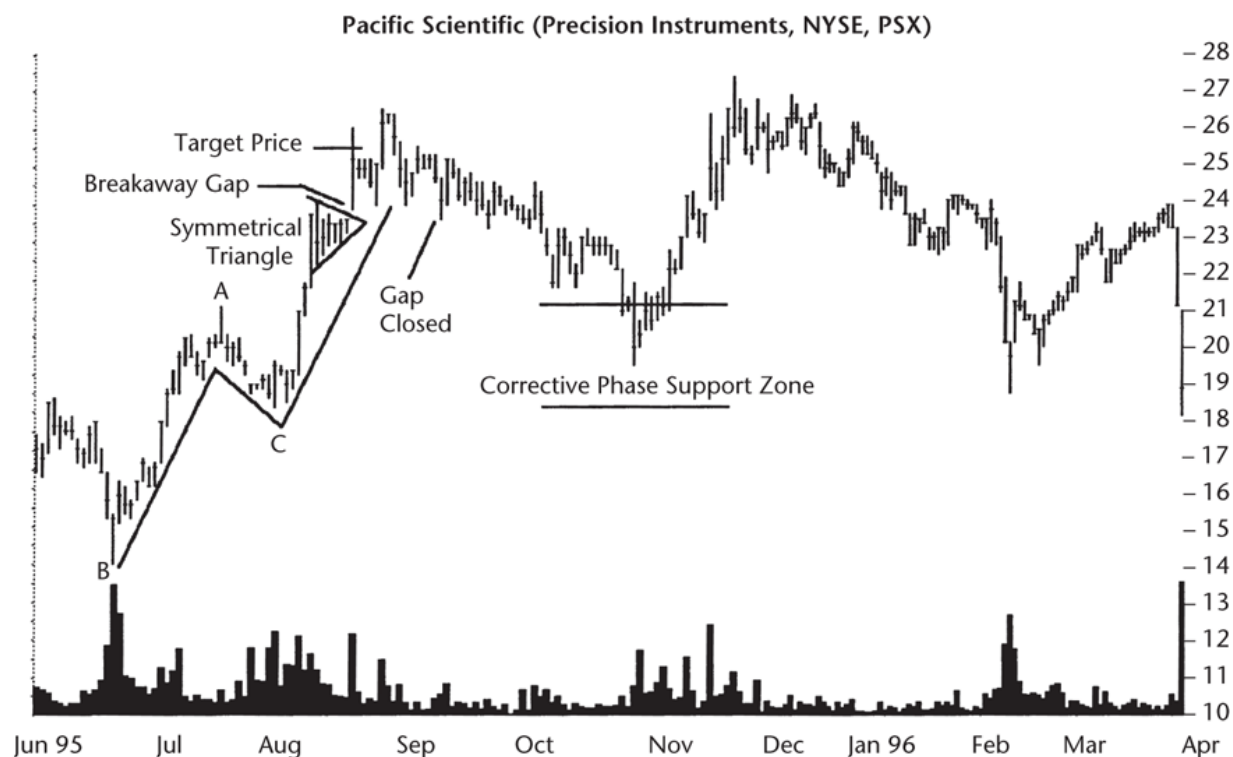




**Figure 47.4** Measured move up with a symmetrical triangle. As described in the Sample Trade, Michelle rode this measured move up in a stock she owned. She sold when the breakaway gap closed. The symmetrical triangle shows a typical receding volume trend.

All bull runs must pause now and again, and this situation was no different. “The stock paused and consolidated for nearly all of July [A to C].”

She looked back at the chart and noticed that the stock had reached a zone of resistance where there were several old highs that stalled near 21. Volume picked up, and when price shot upward, she immediately recognized the measured move pattern.

“Did you sell?” I asked.

She shook her head. Michelle calculated that the stock would rise to 25.38, a new yearly high. “I thought the stock might hit resistance at the old high of 24, and that's what happened.”

A symmetrical triangle formed. The pattern obeyed the rules for symmetrical triangles, lower highs, and higher lows with a receding volume trend, and she was confident that she had correctly identified it.